CAPITAL MARKETS

The Groundbreaking Looked Like a Start. It Was a Capital Stack Test.

Bonaventure's $85.3M Norfolk project reveals how HUD debt and opportunity zone equity are reshaping development feasibility.

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A source-grounded Light Tower Insight. The complete note follows.

A credit committee reviewing Bonaventure's $85.3 million ground-up multifamily project in Norfolk would have asked one question before approving the loan: Does this capital stack survive a two-year construction timeline and a lease-up that begins in fall 2027?

The answer, based on the structure Bonaventure assembled, is a qualified yes. But the qualification is the story.

Bonaventure broke ground on Attain at Newtown, a 320-unit Class A development at 6659 E. Virginia Beach Blvd. The project sits inside a federal opportunity zone. The developer is financing it with equity from Cafritz Asset Management LLC and a HUD 221(d)(4) loan originated by Greystone. This is the second Attain-branded project Bonaventure has started in the past month.

The headline is a groundbreaking. The capital pressure underneath it is a test of whether HUD-insured debt and opportunity zone equity can together absorb the risk that conventional bank construction lending no longer wants.

Start with the debt. HUD 221(d)(4) loans are not the instrument of a hot market. They are long-dated, fully amortizing, non-recourse, and carry a government insurance premium. They are also slow to close and require extensive underwriting. A developer who chooses this product is not optimizing for speed or leverage. They are optimizing for certainty of execution and interest rate stability over the life of the loan.

In a market where bank construction loans are priced at SOFR plus 300 to 400 basis points and carry two-year interest-only periods followed by aggressive amortization, the HUD product offers a fixed rate for 40 years. The trade-off is lower proceeds relative to cost and a longer timeline to close. Bonaventure and Greystone clearly decided the trade-off was worth it.

Now the equity. Cafritz Asset Management is providing the equity for this project. Cafritz is a Washington, D.C.-area family office with a long history in multifamily development. The opportunity zone designation at Attain at Newtown means Cafritz can defer and potentially reduce capital gains taxes on the investment. That tax benefit effectively lowers the required equity return, which changes the underwriting math for the entire project.

Here is the mechanism: In a conventional development, the equity investor demands a return commensurate with construction risk, lease-up risk, and interest rate risk. In an opportunity zone, the investor accepts a lower cash-on-cash return because the tax benefit fills part of the gap. That lower required return makes the project feasible at rents that would not pencil for a taxable investor.

The combination of HUD debt and opportunity zone equity is not new. But it is becoming more important as the cost of conventional capital rises. Regional banks have pulled back from construction lending. National banks are selective. The CMBS market for construction loans is effectively closed. Developers who want to build need to find capital that does not depend on the floating-rate, short-duration bank market.

Bonaventure found it. The question is how many other developers can replicate this structure.

The answer depends on three variables. First, the availability of HUD 221(d)(4) loans is not unlimited. The program has a fixed allocation of insurance authority each year. As more developers turn to HUD, the queue lengthens and the timeline to close extends. Second, opportunity zones are geographically fixed. A developer cannot create a tax-advantaged equity pool for a project that sits outside a designated zone. Third, the equity partner must have the patience and balance sheet to wait through a HUD closing process that can take 12 to 18 months from application to funding.

Bonaventure and Cafritz have that patience. Not every sponsor does.

The broader implication for the multifamily development market is this: The projects that break ground in 2026 will be the ones whose capital stacks were assembled in 2024 and 2025. The ones that start now are the ones whose sponsors understood that conventional bank debt was not coming back at favorable terms and structured accordingly.

For lenders watching this deal, the signal is not that development is healthy. It is that development is bifurcating. Projects with access to government-insured debt and tax-advantaged equity will proceed. Projects that depend on conventional construction loans will wait until the rate environment shifts or the banks return.

For owners of existing multifamily assets in Norfolk, the signal is different. Attain at Newtown will deliver 320 Class A units in fall 2027. That is supply that will compete for tenants in a market where rent growth has moderated. The lease-up risk is real, and it is concentrated in a single year.

The deal is not proof that development is back. It is proof that the right capital stack can still clear. The market should watch how many more of these structures emerge before concluding that the construction pipeline has reopened.

SOURCES

— RE Business Online — https://rebusinessonline.com/bonaventure-breaks-ground-on-85-3m-multifamily-development-in-norfolk/

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